



AGENDA BILL

Agenda Item No. 9.A.

Date: May 21, 2024
To: El Cerrito City Council
From: Crystal Reams, Finance Director/City Treasurer, Finance Department
Subject: FY 2023-24 General Fund Budget Quarterly Update through March 2024

ACTION PROPOSED

Receive and file an update on City General Fund revenues and expenses for FY 2023-24 through March 2024.

BACKGROUND/ANALYSIS

The El Cerrito City Council adopted an annual Budget for FY 2023-24 on June 20, 2023. The Council has closely monitored the City's budget and financial position and directed City staff to submit quarterly General Fund financial update reports.

The General Fund Update (Attachment 1) includes information on revenues and expenditures and lists the year-to-date totals by classification and by department. This report summarizes the major General Fund revenue and expenditure categories through March 31, 2024 on a cash basis and includes comparisons to the prior year's budget. Similar to the first quarter reports from prior fiscal years, revenue cycles for many revenue sources - including property taxes - occur in the second, third and fourth quarters of the fiscal year. Consequently, revenue receipts are not realized in equal quarterly amounts.

The following are FY 2023-24 highlights occurring for the report period of January 1, 2024 through March 31, 2024 and reflect preliminary unaudited cash basis information:

1. Total revenue was \$31.8 million, approximately 65% of the adopted FY 2023-24 budget. As a reminder, property taxes are the City's largest income category and are received in December and April each year. The majority of revenues are non-departmental, as they are general and not allocated to one department.
2. Real property transfer taxes are still performing under projections reflected in the amended FY 2023-24 budget, which is slightly less than the prior fiscal year as reflected in the amended budget for this category. The City Council approved staff's recommended budget adjustment to lower the budgeted amount by \$1 million at mid-year.
3. Total expenditures were \$38.9 million, or 71% of the amended budget, which is slightly under for the quarter.
4. Personnel costs of \$26 million include all personnel related costs. Personnel is the largest component of General Fund expenditures and is trending at just

under 75% of the amended FY 2023-24 budget.

STRATEGIC PLAN CONSIDERATIONS

This report is consistent with the City's Strategic Plan Goal High-Performing Organization: Ensure the City maintains a strong financial position – and will allow the City Manager to develop a plan to ensure that Citywide revenue meets the cost of providing Citywide services, including adequate reserves in the face of significant unanticipated revenue shortfalls. It further ensures procedures that represent best practices in financial management.

ENVIRONMENTAL CONSIDERATIONS

This section is not applicable to this agenda item.

FINANCIAL CONSIDERATIONS

General Fund revenues and expenditures for FY 2023-24, both overall and by department, are tracking slightly lower for revenues and expenditures for the 3rd quarter of the fiscal year. Staff continues to monitor revenue and expenditure trends as the FY 2024-25 & 2025-26 budgets are developed.

LEGAL CONSIDERATIONS

This section is not applicable to this agenda item.

Reviewed by:

A handwritten signature in blue ink, appearing to read 'Karen Pinkos', is written over a faint, light blue circular stamp.

Karen Pinkos, City Manager

Attachments:

1. FY 2023-24 3rd Quarter General Fund Update



General Fund Budget Update

Quarter 3 FY 2023-24

1/01/2024 – 03/31/2024

INTRODUCTION

The City of El Cerrito is pleased to submit the Quarter 3 FY 2023-24 General Fund Budget Update, for the period 01/01/2024 through 03/31/2024. The report provides a high-level overview of the City's status on the budget, with expenditures by department, showing unaudited actuals.

GENERAL FUND REVENUES

FY 2023-24 General Fund revenue is budgeted at \$48.5 million. Table 1 shows the year-to-date revenues by classification, and Table 2 shows the year-to-date revenues by department. As of March 31, 2024, tax revenues are at 62% of budget. Taxes received during Quarter 3 include utility users' taxes, sales taxes, and real property transfer taxes (through February). Overall General Fund Revenues for Quarter 3 are at 65% of the total FY 2023-24 Adopted Budget, which is in line with the 66% received for Quarter 3 FY 2022-23.

Table 1 reflects real property transfer taxes for the months of July through February, as March funds (totaling \$173,676) were received in April and will be reflected in the FY 2023-24 Quarter 4 Update. Adding the March real property transfer tax funds to the Quarter 3 revenue actuals results in year-to-date revenue of \$2,019,185 or 61% of the Adopted Budget. Property transfer taxes are still performing under the projected amount in the FY 2023-24 Amended Budget, which is lower than the prior fiscal year which was at 77%.

Table 1
General Fund Revenue – Classification
Quarter 3

Classification	Budget Amount (Amended)	YTD – Q3 Actual Amount	% of Budget	Prior YTD – Q3 Actual Amount
Property Taxes	\$11,417,064	\$6,762,176	59%	\$5,638,157
Sales Taxes	3,998,666	2,388,858	60%	5,484,732
Measure R Sales Taxes	3,855,000	2,474,800	64%	2,841,756
Transient Occupancy Taxes	150,000	45,484	30%	55,233
Franchise Taxes	1,400,000	804,319	57%	857,006
Business License Taxes	1,150,600	1,042,324	91%	1,028,398
Property Transfer Taxes	3,300,000	1,845,509	56%	3,328,241
Utility Users' Taxes	3,520,000	2,481,513	70%	2,671,054
Other Taxes	1,500	1,769	118%	-
Taxes Totals	\$28,792,830	\$17,846,752	62%	\$19,062,821
Licenses & Permits	1,284,618	995,099	77%	753,401
Fines & Forfeitures	145,000	178,023	123%	77,284
Use of Money and Property	584,073	606,916	104%	504,449
Intergovernmental Revenues	8,393,092	5,158,471	61%	5,114,018
Charges for Services Totals	7,594,420	6,106,694	80%	4,579,342
Other Revenue Totals	911,748	372,872	41%	377,968
Other Financing Sources Totals	977,182	488,591	50%	732,754
Totals	\$48,682,963	\$31,753,418	65%	\$31,202,037

Table 2
General Fund Revenues – Department
Quarter 3

Revenue	Budget Amount	YTD -Q3 Actual Amount	% of Budget	Prior YTD – Q3 Actual Amount
Non-departmental	\$34,136,304	\$21,032,214	62%	\$21,896,401
Administration	140,100	11,763	8%	32,404
Police	214,000	212,498	99%	170,818
Fire	5,213,592	3,201,133	61%	3,493,135
Public Works	664,312	526,125	79%	303,217
Community Development	2,841,226	2,341,536	82%	1,879,593
Recreation	5,473,429	4,428,149	81%	3,426,469
Totals	\$48,682,963	31,753,418	65%	\$31,202,037

GENERAL FUND - EXPENDITURES

General Fund expenditures are budgeted at \$54.99 million for FY 2023-24. Tables 3 and 4 show the expenditures year-to-date by classification and by department, respectively. Departments are tracking slightly lower at 71% of the total year-to-date amount for quarter 3. This is a minimal increase over the Quarter 3 FY 2022-23 expenditures at 70%.

As in previous fiscal years, Personnel is the largest component of General Fund expenditures. Departments have continued to fill vacant positions and we are now trending at 71% of budgeted expenditures. This is slightly higher than Quarter 3 FY 2022-23 at 70%.

Table 3
General Fund Expenditures – Classification
Quarter 3

Classification	Budget Amount Amended	YTD – Q3 Actual Amount	% of Budget	Prior YTD – Q3 Actual Amount
Personnel	\$35,358,284	\$26,029,054	74%	\$22,676,918
Purchased Professional & Technical Services	7,347,177	4,002,086	54%	2,998,268
Purchased Property Services	2,846,162	1,487,777	52%	1,216,319
Other Purchased Services	3,558,119	2,939,341	83%	2,373,566
Supplies	940,675	528,069	56%	424,396
Property & Capital	685,138	236,454	35%	453,492
Financing Costs	634,368	338,535	53%	270,392
Other Financing Uses	3,622,194	3,330,813	92%	667,763
Totals	\$54,992,117	\$38,892,129	71%	\$31,081,114

In Table 3, the actual expenditures reflected for the “Other Purchased Services” classification includes the one-time full fiscal year’s annual insurance premiums which are paid each year in July. Also, in Table 4 expenditures reflected for the Administration Department include the one-time full fiscal year’s annual payments.

Table 4
General Fund Expenditures – Department
Quarter 3

Expenditures	Budget Amount Amended	YTD – Q3 Actual Amount	% of Budget	Prior YTD – Q3 Actual Amount
Administration	\$8,076,150	\$5,878,189	73%	\$5,012,110
Police	13,663,610	9,784,467	72%	8,769,522
Fire	14,873,622	10,419,044	70%	9,249,761
Public Works	2,849,926	1,868,938	66%	1,538,650
Community Development	4,892,425	3,126,620	64%	2,159,242
Recreation	6,524,937	4,287,906	66%	3,611,653
Non-departmental	4,111,447	3,526,965	86%	740,177
Total	\$54,992,117	\$38,892,129	71%	\$31,081,115

CONCLUSION

The City of El Cerrito is currently expensing slightly lower than the budgeted amounts; and revenue amounts are trending slightly lower than budgeted. Revenues are not received in equal quarterly releases. Staff continues to evaluate revenue and expenditure trends as we are preparing FY 2024-25 and FY 2025-26 budgets.